

Recommend switch from Axis Bank to ICICI Bank !!!

Axis Bank reported PAT of INR 4167 cr, up by 93% yoy, led by margin expansion and lower provisions. Key highlights for the quarter were 1) total loans grew at slower pace of 14% yoy, SME & retail showed higher growth rates while corporate loans declined by 5% yoy & 6% qoq 2) **ICICI is gaining market share in corporate loans from HDFC Bank, Axis Bank and PSU banks as well - sequential growth of corp loans for ICICI Bank is 4.4%, Axis bank declined by 6.2% and HDFC Bank growth was muted.** Key competitive edge for ICICI Bank is its lower deposit which is enabling it to grow at assets at lower lending rates without comprising on the margins. 2) on the liabilities side, term deposits grew at meagre rate of 11% yoy. Also, lower term deposit growth could jeopardize the margin profile of Axis Bank in current uptick of the cycle. 3) MTM loss was at INR 6.7 bn vs. profit of INR 5.6 bn 4) margins improved by 11 bps yoy led by change in portfolio mix, increase in lending rates and strong CASA growth. 5) gross slippages during the quarter were INR 36.8 bn compared to INR 39.8 bn.

In the current phase in the economy, where business growth are growing in higher trajectory across banks, Axis Bank is witnessing declining market share both in advances and deposits. This would be one of most important factor to watch out for going forward.

We expect PAT to grow by 35% in FY23e which will be led by lower credit cost (0.5% in FY23e vs. 1.1% in FY22). On the valuation side, the bank is trading at 1.7x/1.5x FY23e/24e ABV respectively (estimated ROE/ROA of 14.8%/1.5% FY24e). **We recommend switch call from Axis Bank to ICICI Bank. ICICI Bank is one of our top picks in the sector for the reasons like 1) strong business growth, gaining market share from other players both in retail & corporate loans. 2) huge beneficiary in current uptick of cycle; likely to witness sizeable margin expansion given CASA ratios at ~50% levels. 3) robust digital capabilities. 4) consolidation phase of higher NPL cycle is also over. 5) strong liability franchise enabling the bank to grow assets without comprising on margins. 6) subsidiaries have gained considerable size & stature in their respective segments, positive for the bank.**

Financial Summary

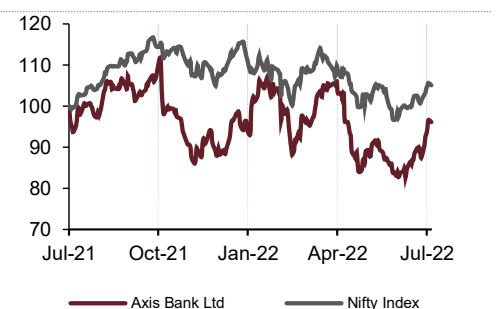
(Rs. bn)	FY21	FY22	FY23e	FY24e
NII (Rs.bn)	292	331	388	462
growth yoy (%)	16.0	13.3	17.1	19.0
PAT (Rs.bn)	66	130	176	211
growth yoy (%)	305	98	35	20
ROA	0.7	1.2	1.4	1.5
ROE	7.1	12.0	14.2	14.8
P/BV (x)	2.1	1.9	1.6	1.4
P/ABV (x)	2.3	2.0	1.7	1.5
P/EPS (x)	32.9	16.7	12.3	10.3

Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY	844	20

Market data

Current price	Rs	706
Market Cap (Rs.Bn)	(Rs Bn)	2,234
Market Cap (US\$ Mn)	(US\$ Mn)	27,976
Face Value	Rs	2
52 Weeks High/Low	Rs	881 / 618
Average Daily Volume	('000)	10,024
BSE Code		532215
Bloomberg		AXSB.IN
Source: Bloomberg		

One Year Performance


Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	9.70	9.70
Public	90.3	90.3
Total	100	100

Source: Bloomberg

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Loan comparison of Axis Bank vs. HDFC Bank and ICICI Bank**Total Loans**

(Rs.cr)	Q1FY22	Q4FY22	Q1FY23	YoY (%)	QoQ (%)
Axis Bank	6,14,874	7,07,696	7,01,130	14.0	(0.9)
ICICI Bank	7,38,598	8,59,020	8,95,625	21.3	4.3
HDFC Bank	11,59,231	13,68,821	13,95,068	20.3	1.9

Corporate loans

(Rs.cr)	Q1FY22	Q4FY22	Q1FY23	YoY (%)	QoQ (%)
Axis Bank	2,27,103	2,30,738	2,16,475	(5)	(6.2)
ICICI Bank	1,76,853	1,93,734	2,02,292	14	4.4
HDFC Bank	3,14,621	3,63,011	3,63,939	16	0.3

Other highlights of the results

- Core PPOP growth was up by 17% yoy excluding trading loss
- Advances grew by 14% yoy which was led by SME loans (27% yoy), retail loans (25% yoy)
- Corporate loans declined by 5% yoy as the bank highlighted that competition has intensified and incremental growth is coming at lower margins where it did chose to grow
- NIM were at 3.60%, improved by 14 bps yoy and 11 bps yoy* led by decline in low yielding corporate loans, change in portfolio mix, increase in lending rates and strong CASA growth
- The bank booked MTM loss amounting to INR 667 cr vs. profit of INR 556 cr in Q1FY23 which was mainly on the corporate bond book, while this is a notional loss, management expects there shall not be any actual loss on the same

Gross slippages during the quarter were INR 3,684 cr, compared to INR 3981 cr in Q4FY22 and INR 6,518 cr in Q1FY22. In % terms, gross NPAs stood at 2.76% and net NPAs at 0.6%. Total provisions came down to INR 359 cr vs. INR 987 cr in Q4FY22 led by lower slippages.

SOTP of ICICI BANK

	Shareholding of ICICI Bank	Valuation Per share	Valuation Criteria
Value of banking business (1)		853	2.8x FY24e ABV of Rs.
Subsidiaries			
ICICI Pru Life	51.3%	62	2x FY24e EV
ICICI Lombard	48.1%	52	35x FY24e PAT of Rs21.5 bn
ICICI AMC	30.0	42	30x FY24e PAT of Rs19.2 bn
ICICI Securities	74.9%	25	10x FY24e PAT of Rs23.3 bn
Home Finance	100.0%	2	1x FY24e ABV of Rs16.9 bn
Overseas subsidiaries		3	0.5x current FY22 BV
Total of subsidiaries		187	
Less: 15% holding co. discount		28	
Sub value post discount		159	
Total of (1) + (2)		1012	
CMP (Rs)		796	
Upside		27.1	

Source: Company, Dalal & Broacha Research

SOTP of Axis Bank

	Stake (%)	Total Value INR Cr	Value Per Share INR
Axis AMC	75	17,144	36
Axis Capital	100	4,627	15
Axis Finance	100	4,661	15
Axis Securities	100	6,983	27
Axis Bank UK	100	559	2
Axis Trustee Services	100	400	1
Max Financial Services	13	30,775	13
 Total Value of Ventures			109
Less: 20% holding Discount		20%	22
Value of Key Ventures			87
Axis bank			
ABVPS			473
Multitple (x)			1.6
Total Value			757
 Target price			844
CMP			707
Upside (%)			19

Source: Company, Dalal & Broacha Research

Quarterly Financials

(Rs in Cr.)	Q1FY23	Q1FY22	YoY (%)	Q4FY22	QoQ (%)	FY22	FY21	YoY (%)
Interest earned	18,729	16003.5	17.0	17,776	5.4	67,377	63,346	6.4
-Interest/discount on advances/bills	13,893	11881.5	16.9	13069.4	6.3	49616.6	47619.8	4.2
-Income on investments	4,281	3,428	24.9	3,902	9.7	14618.9	12558.2	16.4
-Interest on bal. with RBI	193.0	259.9	-25.8	444.8	-56.6	1528.2	1037.9	47.2
-Others	361.2	433.9	-16.8	359.8	0.4	1613.2	2130.3	-24.3
Interest expenses	9,345	8,243	13.4	8,957	4.3	34,245	34107.1	0.4
Net Interest Income (NII)	9,384	7,760	20.9	8,819	6.4	33,132	29,239	13.3
Other Income	2,999	3,358	-10.7	4,223	-29.0	15220.5	12263.6	24.1
Total income	12,383	11118.7	11.4	13042.5	-5.1	48,353	41,503	16.5
Operating expenses	6,496	4932.4	31.7	6576.5	-1.2	23,611	18,375	28.5
-Employee cost	2186.1	1851.9	18.0	1,887	15.9	7612.6	6164.0	23.5
-Other operating expenses	4,310	3080.5	39.9	4,690	-8.1	15998.2	12,211	31.0
Operating profit	5,887	6186.3	-4.8	6466.0	-9.0	24,742	23,128	7.0
Provision for contingencies	359.4	3302.3	-89.1	987.2	-63.6	7359.5	14,322	-48.6
PBT	5,528	2884.0	91.7	5478.8	0.9	17,383	8,806	97.4
Provision for taxes	0.0	0.0		0.0		4357.1	2,217	96.5
Net profit	5,528	2884.0	91.7	5478.8	0.9	13,025	6,588	97.7
Equity	614.3	613.1	0.2	614.0	0.1	614.3	613.1	0.2
EPS	89.98	47.04	91.3	89.24	0.8	212.04	107.47	97.3
Ratios (%)								
Int. exp/Int earned (%)	49.9	51.5	-	50.4	-	50.8	53.8	-
Cost/Income ratio (%)	52.5	44.4	-	50.4	-	48.8	44.3	-
Gross NPAs (Rs)	21,037	25,950	-18.9	21822.3	-3.6	21036.8	25,950	-18.9
Net NPAs (Rs)	4,781	7,846	-39.1	5512.2	-13.3	4780.6	7846.5	-39.1
Gross NPAs (%)	2.76	3.85	-	2.82	-	2.8	3.9	-
Net NPAs (%)	0.64	1.2	-	0.7	-	0.6	1.2	-
ROA (%)	1.4	0.9	-	1.5	-	1.5	1.5	-
CAR (%)	17.3	18.7	-	18.5	-	17.3	18.7	-
Balance Sheet (Rs.mn)								
Sources of Funds								
Capital	614	613	0.2	614	0.1	614	613	0.2
Reserves and Surplus	1,18,764	1,03,277	15.0	1,14,412	3.8	1,18,764	1,03,277	15.0
Deposits	8,03,572	7,13,862	12.6	8,21,721	-2.2	8,03,572	7,13,862	12.6
Advances	7,01,130	6,14,874	14.0	7,07,696	-0.9	7,01,130	6,14,874	14.0

Source: Company, Dalal & Broacha Research

Financial

Profit & Loss Account

(Rs Bn)	FY21	FY22	FY23e	FY24e
Interest Earned	633	674	857	1010
Interest expended	341	342	469	548
NII	292	331	388	462
Other Income	123	152	159	185
Net Income	415	484	547	646
Operating Exp	184	236	270	307
PPOP	231	247	276	339
Provisions	143	74	41	58
PBT	88	174	235	282
Tax	22	44	59	71
PAT	66	130	176	211

Ratios

(%)	FY21	FY22	FY23e	FY24e
Growth				
NII	16.0	13.3	17.1	19.0
PPOP	-1.3	7.0	11.6	22.9
Net profit	305	97.7	35.0	19.8
Deposits	9.0	17.7	15.5	15.6
Advances	7.5	15.2	16.1	17.0
Returns				
ROA	0.7	1.2	1.4	1.5
ROE	7.1	12.0	14.2	14.8
Efficiency				
C/I Ratio	44.3	48.8	49.5	47.5
CASA	45.5	45.0	45.7	46.4

Balance Sheet

(Rs Bn)	FY21	FY22	FY23e	FY24e
CAPITAL & LIABILITIES				
Capital	6.1	6.1	6.1	6.1
Reserves & Surplus	1,010	1,146	1,313	1,513
Deposits	6,980	8,217	9,493	10,977
Borrowings	1,429	1,851	1,611	1,756
Other Liabilities	443	531	542	560
TOT	9,868	11,752	12,964	14,812
ASSETS				
Cash & Balances	617	1,110	978	1,025
Investments	2,261	2,756	3,093	3,470
Advances	6,144	7,077	8,214	9,606
Fixed Assets	42	46	52	59
Other Assets	803	763	627	652
TOT	9,868	11,752	12,964	14,812

(%)	FY21	FY22	FY23e	FY24e
Per Share				
BV (Rs)	332	375	430	495
ABV (Rs)	309	357	411	473
EPS (Rs)	22	42	57	69
Valuation				
P/BV (x)	2.1	1.9	1.6	1.4
P/ABV (x)	2.3	2.0	1.7	1.5
P/EPS (x)	33	17	12	10
Asset quality				
GNPA	3.6	2.8	2.1	1.9
NNPA	1.1	0.7	0.6	0.6
PCR	72	76	72	67

Source: Company, Dalal & Broach Research

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